

Member ID: _____

Time: _____

Rank: _____



PAYROLL ACCOUNTING (125)

NATIONAL 2023

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (24 30 points)

APPLICATION KNOWLEDGE:

Short Answer (29 @ 1 points each) _____ (29 points)

Problem 1. FUTA Earnings (2 points each) _____ (22 points)

Problem 2. Journal Entries (22 @ 2 points each) _____ (44 points)

TOTAL POINTS _____ **(125 points)**

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

You will have 0 minutes to complete your work. The test is divided into two parts, and you **MUST** complete both parts.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the appropriate Division (Secondary or Post-Secondary) Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all percentages to two decimal places unless otherwise indicated.
- Assume all employees earn overtime for any hours worked over 40 hours in a week unless otherwise instructed.
- All calculations regarding time should be rounded to the nearest quarter hour.
- Use 6.2% for Social Security Tax on the first \$100,000 in wages.
- Use 1.45% for Medicare Tax for all wages.
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax.
- Assume no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

Multiple Choice: Identify the letter of the choice that *best* completes the statement or answers the question.

1. All of the information to prepare payroll and payroll taxes is found on _____.
 - A. W-4 and employee earnings record
 - B. employee earnings record and payroll register
 - C. W-4 and payroll register
 - D. W-2 and W-4

1. If an employer withholds income tax, social security tax and Medicare tax from an employee's earnings, they must provide a _____.
 - A. Form 941
 - B. W-4
 - C. Form 940
 - D. W-2

2. Social Security taxes are paid by the employee and NOT the employer.
 - A. True
 - B. False

3. _____ is when an employer makes a payment to the government for payroll taxes.
 - A. pay period
 - B. gross pay
 - C. Federal Income tax
 - D. deposit

4. Social Security tax rate is _____.
 - A. 1.45%
 - B. 7.65%
 - C. 6.20%
 - D. 5.25%

5. Employers can find the information needed to calculate employee federal income tax withholding from a _____.
 - A. Form W-4
 - B. Form I-9
 - C. Form W-2
 - D. Form 941

6. Which of the federal payroll taxes is only the employer responsible for?
 - A. FUTA
 - B. FUTA and Social Security
 - C. Social Security and Medicare
 - D. Medicare and SUTA

7. All wages are subject to _____ tax.
 - A. Federal
 - B. State
 - C. Social Security
 - D. Medicare
8. Which of the following will determine how often an employer makes payroll tax payments?
 - A. how often you run payroll
 - B. the size of the company's payroll
 - C. type of employer
 - D. number of employees
9. Unemployment taxes withheld are recorded as a debit to the _____ and a _____ to a liability account.
 - A. tax expense, credit
 - B. tax expense, debit
 - C. wages and salary expense, credit
 - D. wages and salary expense debit
10. A company-wide summary of all W-2s issued to employees is a _____.
 - A. Form W-4
 - B. Form W-3
 - C. Form I-9
 - D. Form 941
11. _____ is the combined tax of Social Security plus Medicare.
 - A. FUTA
 - B. SUTA
 - C. FICA
 - D. IRA
12. How do payroll expenses affect the income statement?
 - A. Payroll expenses increase net income.
 - B. Payroll expenses decrease net income.
 - C. Payroll has no effect on the income statement.
 - D. Payroll expenses are recorded on the balance sheet.
13. Which of the following accounts appear on the balance sheet?
 - A. Medicare tax expense
 - B. FICA tax payable
 - C. Wages expense
 - D. FUTA tax expense
14. Which of the following will track an employee's payroll disbursements?
 - A. W2
 - B. W4
 - C. Payroll register
 - D. Employee earnings record

Short Answer (29 @ 1pt each)

Trey works for a tire shop and is paid \$17.50 per hour for an 8-hr day or \$2.34 per tire changed, whichever is higher.

Minimum Daily Pay \$ _____ * _____ = \$ _____

Find the gross earnings for Trey whose output was as follows.

Day	Number of Tires Changed	Earnings per Output	Which rate should be paid?
Monday	60	* \$ _____ = \$ _____	Daily ☐ Output ☐
Tuesday	50	* \$ _____ = \$ _____	Daily ☐ Output ☐
Wednesday	55	* \$ _____ = \$ _____	Daily ☐ Output ☐
Thursday	62	* \$ _____ = \$ _____	Daily ☐ Output ☐
Friday	74	* \$ _____ = \$ _____	Daily ☐ Output ☐

Gross Earnings \$ _____ + \$ _____ + \$ _____ + \$ _____ + \$ _____ =

Gross Earnings \$ _____

Problem 1. Calculate employer's taxes for the pay period. (11 @ 2 pts each)

1	2	3	4	5
Employee Name	Prior Accumulated Earnings	Earnings to Equal FUTA Tax Base	Earnings for Current Pay Period	FUTA Earnings
Gonzales, Johnathan	\$6380.00	\$620.00	\$653.00	
Hernandez, Brynlee	7,290.00	0.00	736.50	
James, Donald	3,840.00	3,160.00	521.00	
Martinez, Valeria	6,270.00	730.00	614.00	
TOTALS				
Social Security Tax Payable 6.2%				
Medicare Tax Payable 1.45%				
Unemployment Tax Payable – Federal 0.8%				
Unemployment Tax Payable – State 5.4%				
Total Payroll Taxes				

Problem 2. Payroll Journal Entries (22 @ 2 points each)

According to a summary of the payroll of Simpson Company, \$450,000 was subject to the 6.2% social security tax and \$500,000, which is total wages, was subject to the 1.45% Medicare tax. Federal income tax withheld was \$98,000 and State income tax withheld was \$23,500. In addition, \$15,000 was subject to state (4.2%) and federal (0.8%) unemployment taxes.

Prepare the journal entries to record the payroll paid to employees for the period.

Accounts	Debit	Credit